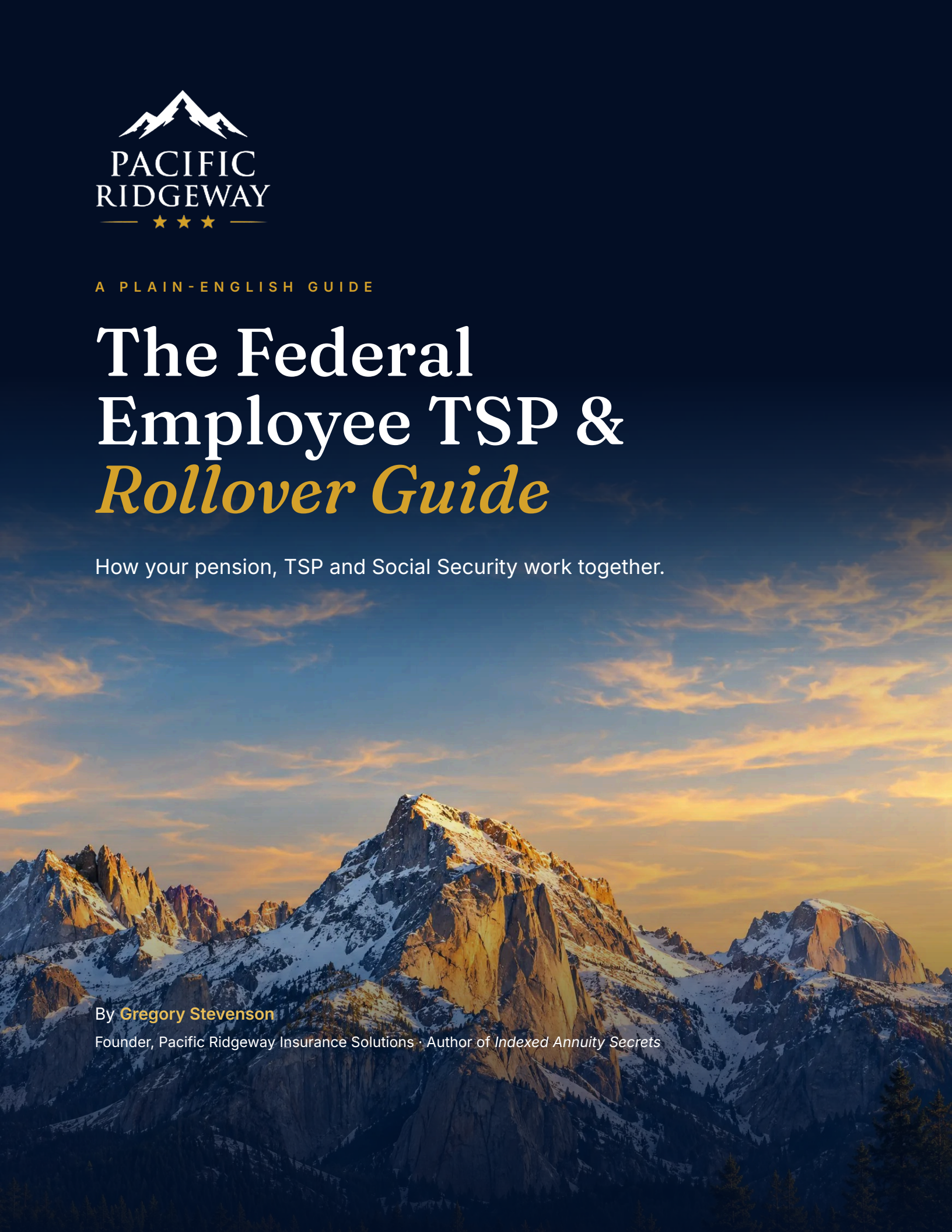
PACIFIC RIDGEWAY

A PLAIN-ENGLISH GUIDE

The Federal Employee TSP & *Rollover Guide*

How your pension, TSP and Social Security work together.



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WELCOME

You served. Now make sure your benefits *serve you*.

Federal retirement is one of the best packages in America, and one of the most confusing. A few choices you make once, often on a single form, can change your income for the rest of your life.

This guide explains the three legs of FERS, the decisions that can't be undone, what to do with your TSP, and what veterans should check before they retire, in plain English.

Three legs. One paycheck.

FERS pension

A monthly check for life, based on your service and high-3 salary.

Social Security

Earned from your FERS years and any other work.

TSP

Your savings. How you take it out is up to you.

The gap

What's left between those three and the life you want.

Inside this guide

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CHAPTER 1

How your FERS pension works

Your FERS basic annuity is a lifetime pension. The formula is simple once you see it.

Pension = *1%* × your high-3 salary × years of service

If you retire at **62 or older with at least 20 years**, the multiplier rises to **1.1%**, a 10% raise for life. Your high-3 is your highest average basic pay over any three consecutive years.

Example	High-3	Years	Multiplier	Yearly pension
Retire at 60	$95,000	30	1.0%	$28,500
Retire at 62	$95,000	32	1.1%	$33,440
Retire at 57 (MRA)	$95,000	30	1.0%	$28,500

Hypothetical examples before survivor reductions, health premiums and taxes. Get your official estimate from your agency or OPM.

The FERS supplement

If you retire before 62 with an immediate pension (for example at your MRA with 30 years, or at 60 with 20), you may get a **FERS supplement** until 62. It approximates the Social Security you earned as a federal employee. It's subject to an earnings test if you keep working, and it stops at 62.

Cost-of-living adjustments

FERS pensions get COLAs starting at 62 (earlier for special-category employees like law enforcement). When inflation is above 2%, FERS COLAs are often smaller than Social Security's. That's one reason many feds want another source of income that can grow.

CHAPTER 2

When can you retire?

Your earliest date depends on your age, your years of service, and your minimum retirement age (MRA).

Birth year	Minimum retirement age (MRA)
1953–1964	56, plus months depending on year
1965–1969	56 and some months, rising
1970 or later	57

Retirement type	Age + service	Pension	Notes
Immediate, unreduced	MRA + 30, 60 + 20, or 62 + 5	Full	FERS supplement may apply before 62
Immediate, reduced	MRA + 10 to 29	Reduced 5% a year under 62	Can postpone to reduce or avoid the cut
Deferred	Left with 5+ years	Starts later	Rules on FEHB differ; check carefully
Special category (LEO, firefighters, ATC)	50 + 20 or any age + 25	Higher formula	Mandatory retirement ages apply

Simplified summary. Your exact eligibility comes from OPM and your agency's HR office.

Keep your health insurance

To carry **FEHB** into retirement, you generally need to be enrolled for the **5 years right before you retire** and retire on an immediate pension. Missing this rule is one of the most expensive mistakes a fed can make, because FEHB is hard to replace.

BEFORE YOU PICK A DATE

Check your MRA, your years (including any military deposit), your sick leave credit and your FEHB history.

THE BEST MONTHS

Many feds retire at the end of a month or a leave year to maximize pay and annual leave payout. Ask HR how your date affects both.

CHAPTER 3

The survivor benefit decision

If you're married, this is one of the biggest choices you'll make, and in most cases you can't undo it later.

Choice	Your pension is reduced by	Your spouse gets for life	Good to know
Full survivor	10%	50% of your unreduced pension	Lets your spouse keep FEHB
Partial survivor	5%	25% of your unreduced pension	Also protects FEHB for your spouse
No survivor	0%	Nothing from the pension	Spouse must consent in writing; spouse may lose FEHB

The survivor benefit isn't just about money. It's often the *ticket* that keeps your spouse on FEHB if you die first.

Example: a $30,000 pension

A full survivor benefit costs **$3,000 a year** and leaves your spouse **$15,000 a year** for life, plus FEHB. Some couples use life insurance to provide extra income, but declining the survivor benefit to buy insurance is risky because of FEHB. Even with insurance, many choose at least the partial benefit.

Hypothetical example. Rules for unmarried retirees and former spouses differ. Confirm your options with OPM before you file.

Questions to answer as a couple

- ✓ Would your spouse need the pension income to live?
- ✓ Does your spouse have their own health coverage for life?
- ✓ What other income would your spouse have, and for how long?
- ✓ Are you each healthy? Who is likely to outlive whom?

CHAPTER 4

Your TSP, simply explained

The Thrift Savings Plan is one of the lowest-cost retirement plans in the country. Here's what's inside.

Fund	What it holds	Risk
G Fund	Special U.S. Treasury securities	Can't lose value; returns are modest
F Fund	U.S. bonds	Can go down when rates rise
C Fund	500 large U.S. companies (S&P 500)	Stock market risk
S Fund	Smaller U.S. companies	Higher stock market risk
I Fund	International companies	Stock and currency risk
L Funds	A preset mix that gets safer near a target date	Depends on the date

Traditional vs. Roth TSP

TRADITIONAL

Tax break now. Every dollar you take out in retirement is taxed as income.

ROTH

Taxed now. Qualified withdrawals, including growth, come out tax-free.

The big risk near retirement

Many feds are heavy in the C, S and I funds right before they retire. A big drop in the first few years of retirement can do lasting damage, because you're withdrawing while prices are down. Moving everything to the G Fund protects your balance but may not keep up with inflation over a 30-year retirement.

The answer for many is a plan: protect the money you'll need for income in the next 10 to 15 years, and let the rest grow.

CHAPTER 5

Your TSP withdrawal options

When you leave federal service you have several choices, and you can mix them.

Option	How it works	Watch out for
Leave it in the TSP	Keep growing at low cost until you need it	Required minimum distributions start at 73 for most
Installments	Monthly, quarterly or yearly payments you choose	Payments can run out if markets do poorly
Partial or full withdrawal	Take a lump sum when you need it	Taxed as income; can push you into a higher bracket
TSP life annuity	Buy guaranteed lifetime income through the TSP's provider	Fixed choice; once bought you can't change it
Roll over to an IRA	Move money to an IRA you control	Lose the G Fund and TSP's low costs

Age 55 and penalties

If you separate from federal service in or after the year you turn **55** (age **50** for public safety employees), TSP withdrawals generally avoid the 10% early-withdrawal penalty. Money rolled to an IRA usually loses that exception until 59½. That's a key reason not to roll everything out early.

Taxes on withdrawals

The TSP withholds 20% federal tax on many lump-sum withdrawals. Traditional dollars are taxed as ordinary income. Planning **when** and **how much** to take each year can lower your lifetime tax bill.

General information based on TSP and IRS rules as of 2026. Confirm details at tsp.gov and with a tax professional.

CHAPTER 6

Rolling over: the honest pros and cons

You don't have to roll your TSP anywhere. But for some feds, moving part of it can add options the TSP doesn't offer.

REASONS TO KEEP IT IN THE TSP

- ✓ Very low costs
- ✓ The G Fund: Treasury returns with no loss of value
- ✓ Penalty-free access from 55 (or 50) after separating
- ✓ Simple, familiar, protected

REASONS TO MOVE SOME OF IT

- ✓ Guaranteed lifetime income with more choices
- ✓ Protection from market losses with growth potential
- ✓ Income for a spouse built the way you want
- ✓ Beneficiary and legacy options

It's rarely all or nothing. Many feds keep the TSP and move *a slice* to cover a specific income gap.

How to move money safely

1

Direct transfer

Money moves straight from the TSP to the new account. No tax, no withholding.

2

Match the tax type

Traditional goes to a traditional IRA, Roth to a Roth IRA.

3

Check the fine print

Know the fees, surrender period and liquidity of anything you buy.

Most feds can roll over after they separate. Some may also make an in-service withdrawal at 59½. Ask us to walk through the TSP forms with you.

CHAPTER 7

Turning your TSP into a paycheck

Start with your income gap, then decide which dollars need to be guaranteed.

Example: Mark, 60, retiring with 31 years

Monthly	Amount
What Mark and his wife want to spend	$7,800
FERS pension (after full survivor benefit)	−$2,700
FERS supplement until 62	−$1,500
Gap now	$3,600 a month
Social Security at 67	−$2,600
Gap after 67	About $1,000 a month

Hypothetical example. Pension and Social Security figures are illustrative.

Mark has **$650,000** in the TSP. His gap is large from 60 to 67 and much smaller after. A plan might use TSP installments or a short-term income source for the bridge years, and guarantee the long-term $1,000 a month so it can never run out.

Three common ways to fill the gap

BRIDGE TO SOCIAL SECURITY

Spend savings early so you can claim Social Security later for a bigger check.

GUARANTEE THE FLOOR

Lifetime income covers the must-have bills, on top of the pension.

GROW THE REST

Money you won't need for 10+ years stays invested for growth.

CHAPTER 8

For veterans

Military service can add to your federal retirement, but only if you take the right steps before you retire.

MILITARY BUYBACK (DEPOSIT)

Paying a deposit for post-1956 active duty service can add those years to your FERS pension. The deposit generally must be paid in full before you retire. Interest grows the longer you wait.

MILITARY RETIRED PAY

If you receive military retired pay, you usually must waive it to credit that service toward FERS, with some exceptions such as certain disability or reserve retirements.

Know what's taxable

Income	Federal tax
FERS pension	Taxable
Military retired pay	Generally taxable
VA disability compensation	Tax-free
Social Security	Up to 85% may be taxable
Traditional TSP withdrawals	Taxable
Roth TSP qualified withdrawals	Tax-free

Survivor protection

Military retirees may have the Survivor Benefit Plan (SBP) in addition to a FERS survivor annuity. Coordinate both choices so your spouse is protected without paying for more coverage than you need.

Rules for buybacks, waivers and SBP are complex. Confirm with your agency HR office, DFAS and OPM before deciding.

CHAPTER 9

Mistakes & checklist

A short list that can save you years of income. Bring it to your HR office and to us.

The mistake	Do this instead
Missing the 5-year FEHB rule	Confirm 5 years of continuous FEHB before your date
Not paying the military deposit in time	Get the estimate and pay before you retire
Declining the survivor benefit without a plan	Understand the FEHB impact first
Rolling everything out of the TSP at 55	Keep enough in the TSP for penalty-free early access
Taking a big lump sum in one year	Spread withdrawals to manage taxes
Ignoring inflation	Plan for 25–30 years of rising prices

Before you file

- ✓ Pension estimate from OPM or your agency
- ✓ MRA, years of service and sick leave credit confirmed
- ✓ FEHB and FEGLI decisions made
- ✓ Survivor benefit decided as a couple
- ✓ Military deposit paid (if any)
- ✓ TSP withdrawal and tax plan written down
- ✓ Social Security claiming age chosen

PACIFIC RIDGEWAY

Let's build your strategy

The policy is the tool. The strategy is what makes it powerful. Here's how we work with every client:

1
Learn your goals
Pension, TSP, Social Security, or all three.

2
Pick the right tool
Keep the TSP, roll over, or both.

3
Shop the strongest
A+ rated, 100+ year companies only.

4
Build for income
Designed for growth, not the biggest commission.

5
Show every number
Guaranteed column, costs and honest risks.

6
Review every year
So your plan stays on track.

Book your free 15-minute call

No pressure. No cost. If a policy isn't right for you, we'll tell you.

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